Accounting Practice 1 — Grading Result

Evaluation of submitted answers from `result_accounting_practice_1.pdf`

OVERALL
81.25

Performance Summary: Good understanding of core accounting concepts, accounting equations, and revenue matching principles. Noticeable errors occurred in Journalizing entries (swapped Debit/Credit for Equipment/Cash) and incomplete answer specification on Historical Cost recording.

#	Question & Submission Analysis	Feedback & Correct Concept	Score
Q1	**Economic Entity Assumption** *Submitted:* Track ownership; avoid alleged corruption and money laundering.	Great points on accountability and legal separation between personal and business activities.	95 / 100
Q2	**Historical Cost Principle** *Submitted:* Price is fixed until sold under historical cost principle.	Correctly mentions price remaining fixed, but failed to explicitly state the actual dollar amount ($100,000) recorded initially.	60 / 100
Q3	**Accrual Accounting Revenue Recognition** *Submitted:* Recorded when earned (credit revenue), debit receivables.	Correctly identified the Revenue Recognition principle (earned vs cash received).	90 / 100
Q4	**Double-Entry Equality** *Submitted:* Must follow Assets = Equity + Liabilities equation.	Accurate. Equal debits and credits ensure the accounting equation stays balanced.	90 / 100
Q5	**Equity Calculation** *Submitted:* Equity = $50,000 - $18,000 = $32,000.	Perfect calculation and application of accounting equation.	100 / 100
Q6	**Total Assets Calculation** *Submitted:* Assets = $15,298 + $13,445 = $28,743.	Perfect calculation and formula.	100 / 100
Q7	**Journalizing Cash Purchase of Equipment** *Submitted:* Debit Cash $1,000; Credit Equipment $1,000.	**Incorrect reversal:** Equipment (Asset) should be **Debited** (increase), and Cash (Asset) should be **Credited** (decrease).	30 / 100
Q8	**Expense Matching Principle** *Submitted:* Matching principle cited; credit card timing example provided.	Strong understanding of Matching Principle and practical timing	85 / 100

#	Question & Submission Analysis	Feedback & Correct Concept	Score
		example, though credited gain instead of payable/cash.	

Accounting Practice 1 Essay Answers

1. a. Accountability

   If business accounts are mixed with personal account records, we cannot track which one is owned by business and which one is personal.

   b. Legality

   These can be treated as alleged corruption and money laundering.

2. When land is purchased for $100,000, that means its price is fixed until sold under historical cost principle.

5. $Equity = Assets - Liabilities$
   $Assets = \$50{,}000$
   $Liabilities = \$18{,}000$
   $Equity = \$50{,}000 - \$18{,}000$
   $Equity = \$32{,}000$

6. $Assets = Equity + Liabilities$
   $Equity = \$15{,}298$
   $Liabilities = \$13{,}445$
   $Assets = \$15{,}298 + \$13{,}445$
   $Assets = \$28{,}743$

7. According to double-entry bookkeeping, Assets total in cash (Debit) increased by $1,000; And Credit for Equipment increased by $1,000.

4. Double-entry bookkeeping must follow $Assets = Equty + Liabilities$ equations.

3. Revenue recorded when it is earned (increased credit revenue), and debit for those receiving the service is increased by the same values.

8. Expense recognition rules record the expenses in the same period as the revenue that helped generate;

June sales commission increases debit expenses by $250 and increases credit gains by the same value;

Cashflow vs Real activity example:

> Buying clothes today with credit card, then pay the bills next month, clothes purchase count as happening today, but the bills must be paid within 30 days.